

CARRIER SERVICES AGREEMENT

Between Contoso Distribution Center Fargo (the customer) and Northwind Freight Inc., 410 Harbor Way, Minneapolis, MN (the carrier).

Subject: less-than-truckload transport from the Fargo distribution center. Synthetic demo contract.

1. Term and renewal

The agreement runs for 36 months from the effective date. It renews automatically for further periods of 36 months unless a party gives written notice at least 12 months before the end of the current period.

2. Rates

Base rate for the lane Fargo-Minneapolis is USD 18.50 per 100 kg for less-than-truckload. Rates for other lanes follow Schedule A and are 6 to 9 percent below the market index.

3. Fuel surcharge

A fuel surcharge applies as published by the carrier each week. The surcharge is not capped.

4. Payment terms

Invoices are payable within 60 days of receipt of a correct invoice.

5. Price adjustment

Rates increase by a fixed 2.0 percent on each anniversary of the effective date.

6. Service levels

The carrier targets an on-time delivery rate of 94 percent per month. If the rate falls below 92 percent, the customer receives a service credit of 2 percent of that month's invoiced freight.

7. Liability and claims

Liability for loss or damage is limited to USD 2.00 per kg of the affected goods. The carrier is not liable for indirect or consequential loss. Claims must be filed within 10 days of delivery.

8. Data protection

Shipment and consignee data is processed in the United States. The carrier may use subprocessors without prior notice. Personal data breaches are reported within 7 days.

9. Termination and exit

The customer may terminate for convenience only after month 24, with 6 months' written notice and a termination fee of 25 percent of the committed annual volume still outstanding. The customer commits to tender at least 90 percent of its Fargo-Minneapolis volume to the carrier.